

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 835

BY APPROPRIATIONS COMMITTEE

AN ACT

RELATING TO STATE BUDGET; AMENDING SECTION 67-3516, IDAHO CODE, TO REVISE A
PROVISION REGARDING THE EXPENDITURE OF CERTAIN FUNDS; AND DECLARING AN
EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 67-3516, Idaho Code, be, and the same is hereby
amended to read as follows:

67-3516. APPROPRIATION ACTS DEEMED FIXED BUDGETS -- RATE OF EXPENDI-
TURE. (1) Appropriation acts when passed by the legislature of the state of
Idaho, and spending authority made thereunder, whether the appropriation is
fixed or continuing, are fixed budgets beyond which state officers, depart-
ments, bureaus, and institutions may not expend.

(2) Moneys available to any agency from sources other than state mon-
eys, if not cognizable at the time when appropriations were made whether
state fiscal liability is increased or not, must have prior approval of the
administrator of the division of financial management and the board of ex-
aminers in order that moneys may be expended, except those moneys received
under such conditions that preclude approval by the administrator of the
division and/or the board of examiners. Receipts from the sale of capital
outlay items and insurance claim settlements may, with the approval of the
division of financial management, be included as an increase to an agency's
appropriation and must be identified at an account category level. Expendi-
ture of such receipts must be for capital outlay items, except in the case of
a sale of a motor vehicle, which, notwithstanding section 67-3511(3), Idaho
Code, may be transferred to operating expenditures with the approval of the
division of financial management. Cumulative expenditures made pursuant to
this subsection shall not exceed ten million dollars (\$10,000,000) in any
fiscal year, excluding any funds expended:

(a) Pursuant to declared federal or state emergencies;

(b) For construction projects at the orchard combat training center or
Gowen field that are funded through the federal national guard bureau;
or

(c) To fund tuition costs for Idaho students enrolled at public insti-
tutions of higher education in the state of Idaho.

(3) One state agency may bill another state agency for goods and ser-
vices, provided the billing agency receives prior approval in writing from
the billed agency or such billing is provided for by law. This process will
be known as interagency billing to which the following rules will apply:

(a) The state controller will treat interagency receipts as revenue and
not classify such revenue as a reduction of the expenditures of the re-
ceiving agency. Interagency billing credits for all moneys shall be de-
posited to the appropriate fund of that agency.

1 (b) Interagency receipts may be expended by the collecting agency to
2 the extent that authority to do so has been requested and approved by the
3 legislature through an appropriation.

4 (c) The agency billed for the goods and services shall classify, treat,
5 and account for such expenses in the same manner as if such expenses had
6 been paid by warrant and may encumber unexpended balances and may carry
7 forward the encumbered appropriation to liquidate known or anticipated
8 interagency billing expenses at the end of a fiscal year. The state
9 controller shall provide for the method of liquidation of these encum-
10 brances.

11 (4) State agencies selling goods, products, and services to another
12 state agency must use the interagency process detailed by subsection (3) of
13 this section. State agencies, departments, and institutions may sell goods,
14 products, and services to the public and/or other political entities. These
15 cash receipts may be expended according to the following rules:

16 (a) The state controller will classify these moneys as receipts.

17 (b) Receipts for all moneys shall be deposited to the appropriate fund
18 of that agency.

19 (c) The collecting agency may expend all such receipts only to the ex-
20 tent that authority to do so has been requested and approved by the leg-
21 islature through an appropriation, except receipts received by agen-
22 cies under the circumstances cited in subsection (2) of this section.

23 SECTION 2. An emergency existing therefor, which emergency is hereby
24 declared to exist, this act shall be in full force and effect on and after
25 July 1, 2026.